

IPO OUTLOOK REPORT

Prepared by:
Rhine Advisory Pvt Ltd

20
26



Contents

Key takeaways	1
The IPO window has opened, but not fully	2
Analyzing 2025 IPOs	3
A clearer path forward for 2026 IPOs	7

2026 IPO Outlook for US VC

What 2025's IPO momentum means for 2026

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

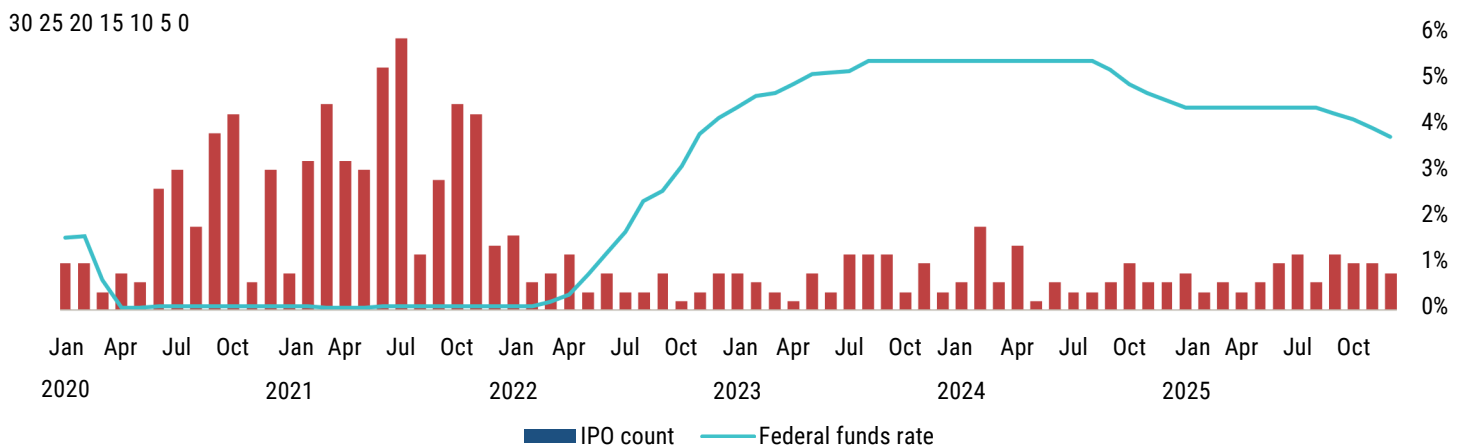
Key takeaways

- The same tailwinds that shaped 2025 IPOs—policy-aligned sectors and valuation resets—are expected to continue guiding listings in 2026. The companies that went public were concentrated in sectors that had been prioritized by the Trump administration, such as AI, space tech, crypto, fintech, and defense. Plus, widespread down-round IPOs allowed more companies to move past their golden handcuffs of peak pandemic-era valuations and finally go public, which was a positive development for venture.
- The post-IPO performances of 2025's public listings were not as strong as hoped. Only four AI companies ended the year above their IPO share price. However, strong performance manifested in companies with positive EBITDA prior to listing. Half of those companies traded at least 45% above their IPO price through December 31.
- Our base outlook sees gradual improvement rather than a rapid recovery in 2026. IPO activity could rise to 68 offerings under favorable conditions such as easing policy uncertainty and more rate cuts, but absent sustained tailwinds, listings may remain closer to 2025 levels, which will further strain an already-stretched venture market.

The IPO window has opened, but not fully

Liquidity conditions in US VC improved meaningfully in 2025 as a handful of high-profile IPOs delivered much-needed exit value and renewed confidence in public markets. However, this exit value was highly concentrated: Just 48 companies went public, consistent with other post-pandemic years, and only 17 were unicorns. This level of activity falls short of what the venture ecosystem needs to fully recover, leaving more than \$4.3 trillion of value locked in private unicorns alone. After four consecutive years of negative net cash flows to LPs, the pressure on exits is mounting, particularly as the total value of the US venture market has more than tripled since 2020 to \$7.4 trillion. Without a broader slate of large IPOs, the venture market will continue to struggle to raise new funds, pressuring dealmaking in the future.

VC-backed IPO count versus federal funds rate by month

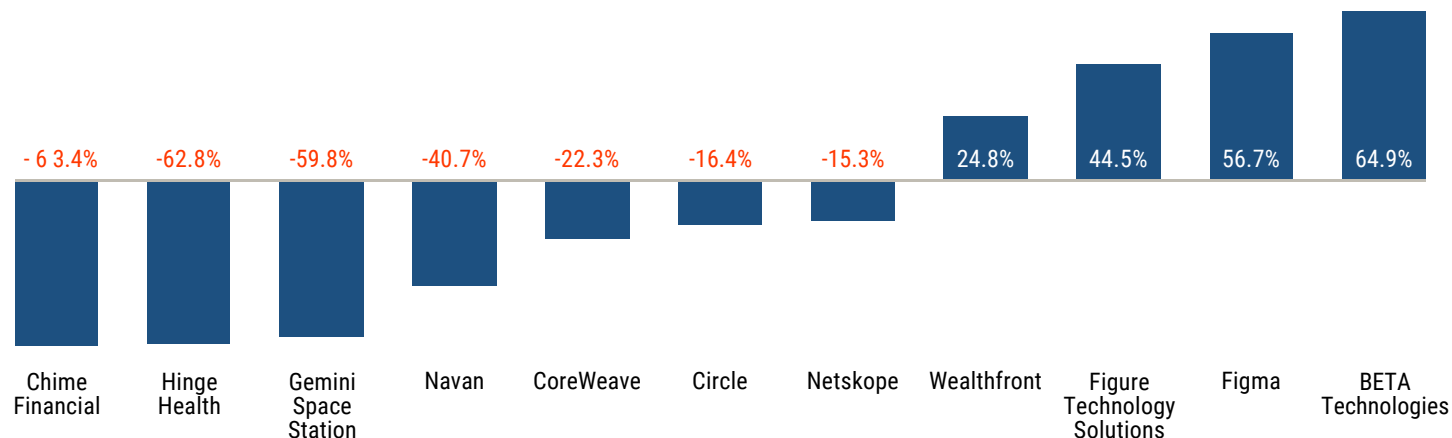


Source: PitchBook • Geography: US • As of December 31, 2025

Macroeconomic uncertainty hindered 2025's exit momentum as tariff negotiations, a prolonged government shutdown, and episodes of public market volatility complicated IPO timing and pricing. As a result, the reopening of the IPO market was highly selective. [The largest listings of 2025 shared certain characteristics](#): These companies demonstrated clear paths to profitability or strategic alignment with the Trump administration's policy priorities, particularly in the AI, space tech, crypto, fintech, and defense sectors. Excluding healthcare and life sciences, 73.1% of 2025 IPOs occurred in these sectors.

Valuation compression was a defining feature of 2025 IPOs. Most unicorns entered the public markets at substantial discounts to their peak private valuations, signaling a broad reset from pandemic-era pricing to current fundamentals. For example, fintech company Chime went public at a 63.4% markdown from its private market high. While these down-round IPOs may be painful in the short term, their normalization is a positive development for venture, lowering the bar to an IPO and clearing the runway for a lasting recovery of exits.

Select 2025 IPO exit values relative to peak private valuations



Source: PitchBook • Geography: US • As of December 31, 2025

These key themes of standout sectors and resetting valuations are expected to strongly influence 2026 IPOs as well. However, the market uncertainty that should have eased as the Trump administration entered its second year has given way to a regime change in Venezuela, potential military involvement with Iran, as well as the administration's continued provocation of Greenland. A possible narrative shift at the Federal Reserve (the Fed) could also influence the year's outlook, depending on how drastic the change is. The expectation of further cuts from the Fed has lowered a bit, but the potential for a more dovish chair to replace Jerome Powell makes the market's reaction harder to predict. Despite these considerations, our outlook remains cautiously optimistic. With few companies in the registration pipeline, the pace of IPO listings will take time to accelerate, but momentum, even in sentiment, has been built.

The defining challenge for the year ahead will be widening the IPO window. While 2026 is anticipated to deliver a handful of marquee listings, such as SpaceX's potential IPO at a reported \$1.5 trillion valuation, the broader market is expected to remain selective, benefiting from similar tailwinds to those seen in 2025. Those standout names could drive or stall the market, pulling forward or pushing back companies that do not want to list in the shadow of the giants. What venture needs now is a durable, market-wide recovery of liquidity.

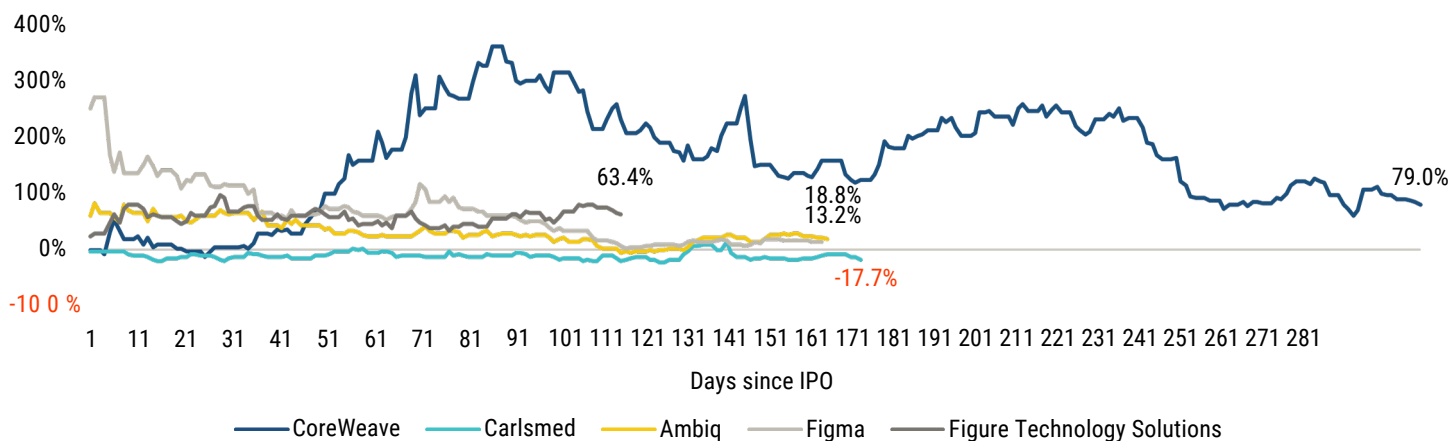
Analyzing 2025 IPOs

As we look ahead to the rest of 2026, it is also worth looking back on the performance of 2025's IPOs. For most of the year, the narrative of IPOs was much stronger than reality. 48 companies completed listings, which was roughly on par with the totals of the prior three years. The high number of down rounds, though mentioned earlier as a positive, also highlights further challenges in the market that need to be overcome.

In 2025, just completing an IPO was the goal; hopes for a bellwether year were set aside. Companies that completed public offerings during the year largely did not perform well after their listings. As of December 31, almost 70% of the newly listed companies were trading below their first-day close. Half were trading below their IPO share sale price.

There were exceptions. CoreWeave ended the year up 79% from its IPO price. However, its trading was volatile. At one point, the stock was up more than 250%, and at another, it was down more than 7%. The overall poor performance of VC-backed companies challenges the narrative that public investors are supporting risky tech companies in the current market. AI-induced growth has provided strong performance for megacap stocks, offering growth-return exposure from proven businesses that are also at the forefront of AI. That has likely induced negative performance for the AI IPO cohort. Why risk investing in a developing company with high losses when strong returns can be generated through an investment in Google or Microsoft? Overall, AI IPOs did not perform spectacularly in 2025. Just two listings ended the year up more than 20% from their IPO price, and of the five highest-performing stocks, only two trended positively over the year. By December 31, only four of the stocks were above their IPO price.

Post-IPO performance of select AI companies



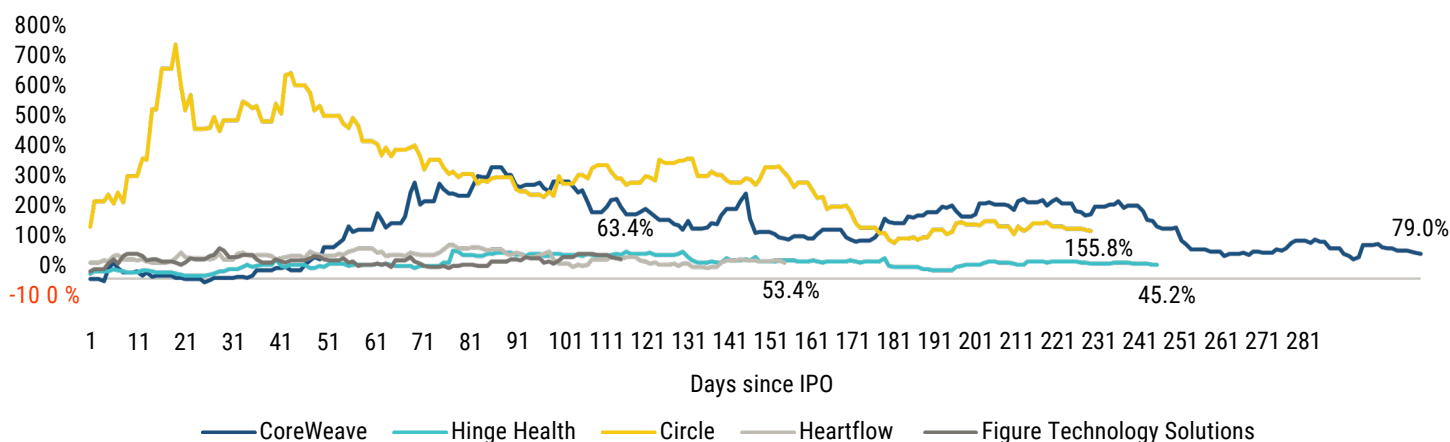
Source: PitchBook • Geography: US • As of December 31, 2025

Where support did come for VC-backed IPOs was in the initial offering price. Many of the companies were priced within or above their estimated price range. Those ranges were generally set to valuations much lower than those the companies had received in the private market. After all, companies are expected to be priced relative to current market conditions. This suggests that banks did, in fact, price these offerings accordingly. The IPO prices of these listing companies held up much stronger than their private market valuations or the initial pops.

Poor postlisting performance tells us several things. One is that first-day pops are more about manufactured hype than true market sentiment. Most of the unicorns had strong debuts, with half pricing their listing above their estimated range. The second is that private market pricing appears to be increasingly misaligned with

public markets. 14 of the 17 unicorns listed at lower valuations than they had raised privately, despite showing several years of revenue growth between their last private round and their IPO. For the Q3 earnings cycle, nearly all of the unicorns continued to beat market expectations on revenue, yet most continue to trade sideways. This will be an important part of 2026 IPOs. Private market prices continue to expand, even as public investors have balked at those prices for several years. Supported initial offering prices show hope for a tech rebound, even if subsequent trades do not. How will these companies fare, considering public market multiples have not experienced the same growth as multiples in the private markets?

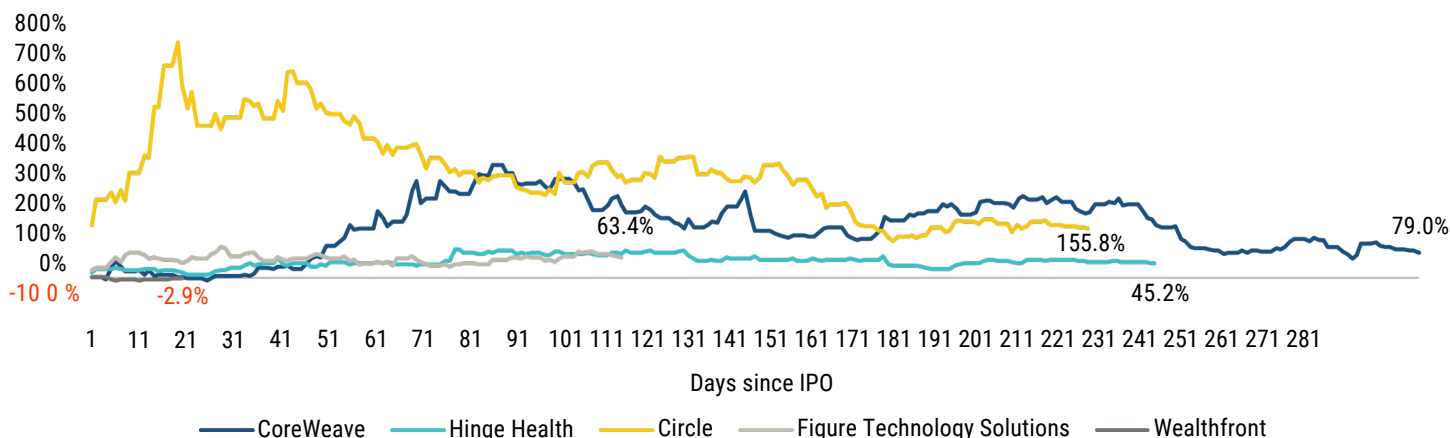
Post-IPO performance of select unicorns



Source: PitchBook • Geography: US • As of December 31, 2025

Though revenues for the 2025 IPO cohort were generally stronger than those of past cohorts, losses remain a sticking point with public market investors. Three companies had nine-figure EBITDA at listing, including Circle and CoreWeave, but just 25% of the companies had positive EBITDA. This has been a trend for VC-backed IPOs. Even after a market cycle where “profitability” was a key term, few companies are able to manage both high growth and profitability. Losing one to enjoy the other has negative impacts in public markets. The expectation, until shown otherwise, should be that losses continue to dominate among private companies. Growth is imperative, and if a company is not losing money, the need to raise another large round is diminished. What we have seen is that companies raising new rounds over the past couple of years are back in growth mode, while those that have not raised likely have stagnating growth. Those companies are trading for significant discounts on the secondary market and are not likely to be the ones pushing for a near-term IPO.

Post-IPO performance of select companies with positive EBITDA prior to listing

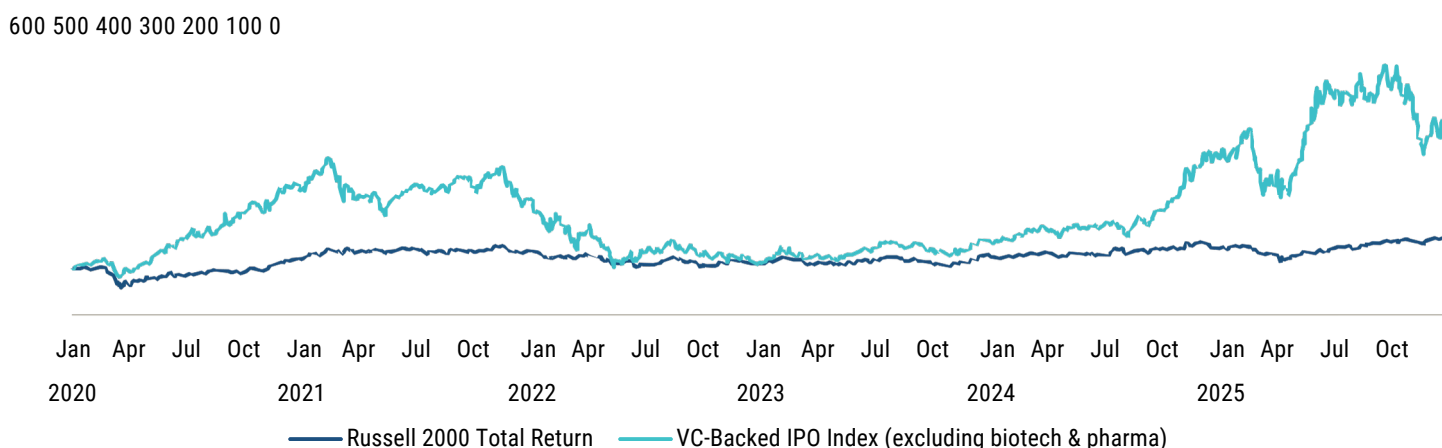


Source: PitchBook • Geography: US • As of December 31, 2025

PitchBook's VC-Backed IPO Index shows just how volatile 2025 was. Peaks and troughs were driven by the performances of just a couple of companies. Performance was not equal among sectors either. Circle and Gemini Space Station had widely different performances, with Circle up more than 100% from its debut and Gemini down more than 60%. Circle benefited from regulation on stablecoins in the Guiding and Establishing National Innovation for US Stablecoins (GENIUS) Act, while Gemini traded similarly to the Nasdaq Crypto Index, which was negative for the year.

Companies that went through a public listing in 2025 had to account for market volatility drummed up by tariffs and their subsequent delay (thereby kicking the proverbial can of uncertainty 90 days down the road), as well as the US government shutdown. However, what the data shows is that the year was not that favorable to tech companies, even those coming to market with high growth. In 2026, beyond the hopeful SpaceX, Anthropic, and OpenAI IPOs, the reaction to high-loss companies with name-brand appeal will be telling of the market support for VC-backed IPOs. The expectation should be of a similar year to 2025, not 2021.

Russell 2000 Total Return versus VC-Backed IPO Index (rebased to 100 in 2020)



Source: PitchBook • Geography: US • As of December 31, 2025

A clearer path forward for 2026 IPOs

The most significant shift influencing our 2026 exit outlook is that some of venture's most valuable startups are now actively preparing for public listings, a notable break from previous post-pandemic years. Overwhelming private investor demand has enabled top startups to raise multiple mega-rounds without IPOs, and the rise of venture secondaries has given employees and investors access to liquidity without exits. However, for companies operating in capital-intensive and highly competitive sectors such as AI and space tech, the scale of the investment required to establish market leadership and sustain growth has made IPOs and access to public markets essential.

Now that multiple standout names are preparing to exit, another concern arises: Their massive valuations raise questions about public market capacity and investor appetite if most choose to go public in 2026. An influx of oversized listings could crowd out midsize issuers, reinforcing the selectivity that has defined the market in recent years. Though the resulting liquidity will be a welcome boon for investors, success at the top of the market does not automatically translate into improved access for the broader venture ecosystem.

In our favorable outlook, we project 68 IPOs in 2026, consistent with the decade average excluding 2021's all-time high. This represents a 41.7% increase over 2025 levels and would therefore require an alignment of favorable macro conditions, including continued interest rate cuts, subdued market volatility, and consistent public market demand that encourages a larger cohort of companies to list.

In the absence of sustained tailwinds, our unfavorable scenario assumes IPO activity remains at the 2025 level of 48 offerings. Liquidity would continue to flow unevenly while the majority of venture portfolios remains constrained. Many companies would find the public markets out of reach.

Ultimately, 2026 has potential to become a pivotal year for IPOs. The year is expected to demonstrate incremental progress, but whether this pace proves sufficient to help the overall market recover is an open question. After an extended slowdown, venture faces mounting pressure to convert paper gains into realizable returns, and another year of subdued IPO activity may test the sustainability of the current ecosystem.

Notable 2026 IPO candidates

Company	IPO probability	Post-money valuation (\$B)	Close date of last known valuation round	Vertical(s)	Years since first VC round
OpenAI	97%	\$500.0	October 3, 2025	Artificial intelligence & machine learning (AI & ML)	6.5
Databricks	97%	\$134.0	December 16, 2025	AI & ML	12.3
FalconX	97%	\$8.0	June 2, 2022	AI & ML, cryptocurrency	7.6
SpaceX	96%	\$400.0	November 12, 2025	Space technology	23.0
Ava Labs	96%	\$5.3	April 14, 2022	Cryptocurrency	6.9
Quantinuum	95%	\$10.8	November 5, 2025	AI & ML	3.9
Consensys	94%	\$7.0	June 1, 2022	AI & ML, cryptocurrency, fintech	7.1
Kraken	91%	\$ 2 0.0	November 18, 2025	Cryptocurrency, fintech	15.0
Dataminr	84%	\$4.1	March 23, 2021	Cybersecurity	14.7
Anthropic	80%	\$350.0	November 19, 2025	AI & ML	4.6
BitGo	29%	\$1.8	August 16, 2023	Cryptocurrency, fintech	11.7

Source: PitchBook • Geography: US • As of December 31, 2025
 Note: Probability data is based on [PitchBook VC Exit Predictor methodology](#).



RHINE ADVISORY PVT LTD

CLOSING SUMMARY

Phone: +91-8140243880
Email: contact@rhineadvisory.com
Website: www.rhineadvisory.com

*Rhine Advisory provides
actionable insights across
the global capital markets.*

*For Additional Research
Please follow the research &
Insights at
www.rhineadvisory.com*

COPYRIGHT © 2026 by Rhine Advisory Pvt Ltd. All rights reserved. No part of this publication may be reproduced, distributed, transmitted, stored in a retrieval system, or translated in any form or by any means—electronic, mechanical, photocopying, recording, scanning, or otherwise—without the prior express written permission of Rhine Advisory Pvt Ltd.

The contents of this report are based on information obtained from sources believed to be reliable; however, Rhine Advisory Pvt Ltd makes no representation or warranty, express or implied, as to the accuracy, completeness, or timeliness of such information, and assumes no responsibility for any errors or omissions.

This material is provided solely for informational purposes and does not constitute investment advice, legal advice, tax advice, accounting advice, or any recommendation regarding any securities or financial instruments. Nothing contained herein shall be construed as an offer to sell or a solicitation of an offer to buy any security or financial product, nor shall it form the basis of, or be relied upon in connection with, any contract or investment decision. This report does not purport to contain all information that a prospective investor may wish to consider and should not be relied upon as a substitute for the exercise of independent judgment. Recipients are strongly advised to conduct their own independent due diligence and consult their professional advisers prior to making any investment or business decision.

Rhine Advisory provides actionable insights across the global capital markets.

For Additional Research Please follow the research &
Insights at www.rhineadvisory.com

Nizar Tarhuni

Executive Vice President of Research and
Market Intelligence

Paul Condra

Senior Director, Global Head of Private
Markets Research

Kyle Stanford, CAIA

Director, VC Research

Report created by:

Emily Zheng

Senior Research Analyst, Venture Capital

Kyle Stanford, CAIA

Director, VC Research

Caleb Wilkins

Data Analyst

Megan Woodard

Senior Graphic Designer

[PitchBook Insights](#) is an online compendium of in-depth
data, news, analysis, and perspectives that shape the private
capital markets.

PitchBook subscribers enjoy exclusive access to a
comprehensive suite of private market insights, including
proprietary research, news, data, tools, and more on the
[PitchBook Platform](#).

Learn more about [PitchBook's Institutional
Research team](#).

Click [here](#) for PitchBook's report methodologies.